EU COMPETITION POLICY: BENEFITS AND PROBLEMS IN TERMS OF HARMONIZATION, CONVERGENCE, MUTUAL RECOGNITION

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RESUME

The following paper attempts to answer the question in several chapters, each based on researchers' articles of independent areas in competition studies from an economic point of view, EU public policy and competition law. Firstly, there will be provided theories of scholars, who offer general pros and cons of harmonization, convergence and mutual recognition of institutions, later in the theoretical chapter, I show some concepts about EU competition policy. Then, following the idea of the paper, in order to understand benefits and problems of European competition policy area, it is important to define and analyze the competences of each level of authority inside EU relating to the ensuring fair competition on market. After uncovering competences, I provide exact results, which EU competition policy promotion caused or theoretically may cause through the timeline from the when this policy was under the power of only member states independently, to making this area commonly and similarly regulated in EU.

Keywords: EU, Competition Policy; Article 101; Convergence; Harmonization.

INTRODUCTION

The European Union has been passing the long process of integration, development, and development of integration, which includes absorbing of the new neighboring and different countries. The main requirement of the euro integration process from the applicant countries is to adjust to the several political, economic, social or other standards. Adjustment of different spheres of public policies in EU member states to one, more or less similar standards, started the process of convergence of policy-making, even more, constructing a same legislative framework in the Union, inclining various national, regional and municipal frameworks to common and harmonized one. Competition Policy wasn't the exception in these terms, moreover, relating to one of the basic principles EC was built on, unfair competition could lead to economic division among member states.[1]

Having different economic history backgrounds, it seemed that more powerful corporations could expel less powerful ones from the market via abusing their power and manipulating customers' preferences. Thus, EU started regulation of the market in the way of supporting fair conditions, ensuring competitiveness and protecting customers' rights. In this context, one of the cores of fair competition is Standardization Policy, which, as EU claims, supports market-based competition, quality and promotes better regulation on fairness in the market. However, the main goal of the paper is to examine the benefits/problems which caused Competition Policy enaction in EU under the specific articles and I slightly discuss how the idea of regulating competition, not the market come up, what was the prerequisites for this regulation. However, analyzing Competition Policy only through one law, seems absurd, as far as, there are some other laws and directives of EU, which indirectly affects the results of competition policy.

Talking about EU's Competition Policy it is meant the general principles which should and must be fulfilled by member states in

1 Costen and Grunding v. Commission of the EEC, C-56/64 (Court of Justice of the European Union July 13, 1966).

order to support fairness in national and in the whole European markets together, to adjust to the principle of free movement of goods, services and people across EU. The latter means creating more harmonized and coordinated national public policy-making member states' in the competition area, with a little sovereign power to manage race of enterprises in the market. The fact that member states can independently solve competition problem inside their borders, shows that one of the most important principle, free movement of goods, services, and people, somehow can be differently managed in terms of EU regulations for Competition Policy.

THEORETICAL FRAMEWORK

Debates around the effectiveness of pushing competition regulations of each member states towards harmonization can be divided into two major parts. Each side emphasizes benefits of either more harmonization or more mutual recognition, but some theoreticians highlight more moderate, convergence theories, as far as, each side is considered as "radical". In this paper, I review highly harmonization-aligned theoretician and a scholar, who stays between convergence and mutual recognition. The history of competition policy reforms in EU has shown, that EU policy-makers tried lots of combinations of above-mentioned and not-mentioned approaches while looking for the best one.

Sebastian Mock improved the theory about the effectiveness of investment in similar legal systems.[1] He claimed, that enterprises are more like to expand in states, which have more or less similar regulations in Corporate Laws, but in terms of competition policy, as their origin states, as don't lose any kind of assets in order to adjust to the new markets. Thus, in context of EU competition policy, there is a correlation between similarities of policies and economic growth, in other words, the more EU competition regulations are, the more companies start to invest and trade in other member states. Follow-

1 Mock, S. (2002). Harmonization, Regulation and Legislative Competition in European Corporate Law. German Law Journal, 1-2.

ing his theory, Mock deepened idea and made predictions, that after the above-mentioned correlation, generally, EU strengthens its' positions in international competition, as far as, each member states' industries have experience of external trading.

On the other hand, Adrienne Heritier suggested two concepts. Firstly, she analyzed one of the main principles of EU – free movement of goods, people, and services. The latter, in harmonized competition policies, may be "dangerous", as long as, the movement of services itself means movement of people and increases fears of unemployment. Hence, she claimed, that the more harmonized is competition regulations, surely, the easier is for enterprises to expand in other member states and therefore, the more increases unrest towards harmonization.[1] From this theory, she set up the new term of "managed" mutual recognition, which means, that analyzing on the basis of the rationality of benefits from harmonization or mutual recognition, policy-makers can balance these fears and similarity among competition policies via separation of powers regulating competition.[2]

COMPETENCES OF COMPETITION MANAGERS

Regulation power of Competition policy has changed several times in EU/EC and the most important changes started after 2004 when ten new states acceded to EU and it seemed obvious to make different regulative systems more similar.[3] Since the Treaty of Rome, the competition policy area has been divided into sub-policies, such as Cartel Policy, Merger Policy, Concentration Policy, etc. and each area has been regulating by EC, individual member states or both.[4]

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1 Héritier, A. (2007). Mutual recognition: comparing policy areas. Journal of European Public Policy, 807.

2 Héritier, A. (2007). Mutual recognition: comparing policy areas. Journal of European Public Policy, 805

3 Schuman, R. (2004). Modernization of European Competition Law as a Form of Convergence. Jean Monnet/Robert Schuman Paper Series, 5.

4 Budzinski, O., & Christiansen, A. (2005). Competence Allocation in the EU Competition Policy System as an Interest-Driven Process. Journal of Public Policy, 25(3), 315

After decades of “top-bottom” or “bottom-top” competence allocation reforms, three large member states, UK, Germany, France, influenced on the final result of competition policy regulation power.[1] The final result is, that each level, EU, and individual member state, has strong independent and interdependent competences, as far as, the member states authorized entities regulating competition are obliged to enforce EU level regulations, which, on the other hand, are partly approved by these entities together considering individual and EU space competition experiences and conditions. One of the most important issues in all these procedures is that one lawsuit case in any member state regarding the competition policy can become a general principle of further regulation for the whole EU.

On the other hand, as Sebastian Mock analyzed, competition regulation in EU also includes Company Law harmonization in terms of fairness. This means that a company, establishing branch in another member state will face to different legal system regulating trading and other economic activities, hence, meaning imbalanced competition among local and newly-entered companies on market, because branch enterprises need time to adapt to the new legal system if it isn’t similar to new companies’ original one. In this context, separation of power between “upper” and “lower” levels resulted as the following – specifically relating with the competition regulations, EU level has more power, which means, that member states can only slightly modify their competition policies on their own and must oblige to principles and directives of specific articles. However, in terms of private companies’ regulations, Corporate Laws, the chapters, which have an impact on competition, can be changed individually.[2] All above-mentioned means, that competition policy is much more harmonized, than corporate regulations policy in EU.

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1 Budzinski, O., & Christiansen, A. (2005). Competence Allocation in the EU Competition Policy System as an Interest-Driven Process. Journal of Public Policy, 25(3), 318

2 Schuman, R. (2004). Modernization of European Competition Law as a Form of Convergence. Jean Monnet/Robert Schuman Paper Series, 9

RESULTS OF LAWS

The main aims of competition can be defined from two sides – consumer and enterprise ones. Analyzing the consumer benefits of the competition of companies in terms of harmonization, convergence or mutual convergence, more effective for consumers is harmonization of competition policy. The article 101 of Treaty on Functioning EU mostly regulates competition for Protecting Consumers' Rights and increase their welfare.[1] The principles harmonized competition policy is to prohibit Cartel Agreements, which might abuse their power and influence on prices or quality, which isn't lucrative for purchasers of the goods or services. In this term, mutual convergence has its role.

Member States have power to independently modify competition policies, as far as, they have individual economies and backgrounds, which cannot be universalized and put in the same way of development as others economies. However, these modifications of regulations shouldn't contradict Article 101 principles or should be proven by national authorized entities regulating competition.[2] Thus, from the consumer's point of view, the more harmonization brought and brings more benefits, as consumers have more access to new goods and services from other member states, which increases fair competition, therefore quality and reduces prices. Additionally, consumers can trust these products, because of the almost completely harmonized policy of standardization in EU.[3] There are sorts of different goods of services, which has been standardized by EU and each member state company must fulfill these standards, which, once more, gives benefits to consumers. However, another side of the coin is that what Adrienne Heritier mentioned in her theory –

1 European Union. (2012, October 26). Treaty on the Functioning of the European Union. Retrieved January 4, 2022, from https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:12012E/TXT

2 Ibid.

3 European Commission. (n.d.). Harmonised Standards. Retrieved January 7, 2022 from ec.europa.eu: https://ec.europa.eu/growth/single-market/european-standards/harmonised-standards_e

the potential loss of the jobs and is looking logic. Free movement of people will concentrate them in specific areas, which might cause unemployment there. On the other hand, establishing new branches brings new jobs and challenges Heritier theory, but this process is arguable.

Due to the fact that competition policy regulations directly affect enterprises, it's much more complicated to exercise whether it is beneficial for companies to be regulated by the harmonized/mutually recognized legislature or not. Generally, as it is claimed in the article 101, cartel agreements are prohibited, however, national legal entities responsible for competition policy regulations should analyze each agreement and it isn't necessary to ban agreements, as they don't impact on competitiveness on market. In this case, the power of regulation is transferred to member states, which is much more beneficial for companies, as far as, local authorities better know and easily can evaluate agreements, rather than EU level responsible entities. For small and medium-sized enterprises (called SME) mutual recognition is less effective, but mostly problematic according to the article 102.[1] Following the previous ideas, if these companies want to merge, they should wait for the verdict of national legal entities to allow merging and for them, harmonized legislation opened them more opportunities outside borders as they don't need to adapt to the new legislation and wait for the long process of authorization of entry. The same article emphasizes the rationality principle, which claims, that any policy decision should be to take on cost-benefit analysis, not imperative principle to ban all agreements and allow all foreign companies to enter your market. In other words, once more, more autonomy has been given to member states.

1 European Union. (2012, October 26). Treaty on the Functioning of the European Union. Retrieved ,December 27, 2021, from https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:12012E/TXT

CONCLUSION

Finalizing the results of competition policy in EU, generally, regulations are mostly inclined to harmonization, but splitting into two parts – consumers and enterprises, regulations now seems different:

Most regulations, which orientate on consumer welfare, are harmonized and give more benefits from this part of regulations, rather than from convergence or even mutual recognition

Enterprises are in the middle. They can benefit from every principle – due to harmonization they can participate in other markets, due to mutual recognition enterprises benefit from the individual legislation.

Relating to the problems, the only problem the might be caused by all process from mutual recognition to harmonization in EU competition policy is an eruption of unemployment in different areas if we believe quite logic argumentation of scholars. The configuration of competition regulation changed several times, due to the looking for the best approach how to separate power between EU and member states and the last approach can be called "managed" mutual recognition, discussed in above chapters.

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რეზიუმე

ნაშრომში წარმოდგენილია მეცნიერთა თეორიები, რომლებიც გვთავაზობენ ინსტიტუტების ჰარმონიზაციის, შერწყმისა და ურთიერთაღიარების დადებით და უარყოფით მხარეებს, რამდენიმე კონცეფცია ევროკავშირის კონკურენციის პოლი-

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საკვანძო სიტყვები: ევროკავშირი; კონკურენციის პოლიტიკა; არტიკლი 101; კონვერგენცია; ჰარმონიზაცია.